

Recommendation: Buy

Price Target: \$60.12

Mihir Patel 

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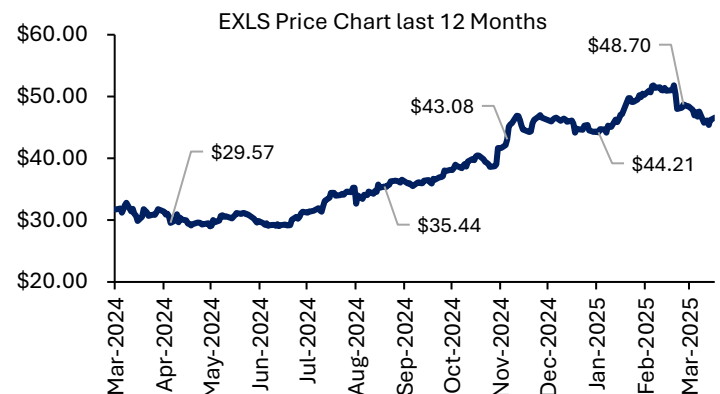
EXL

NASDAQ: EXLS

March 18, 2025

Investment Thesis:

In recent years, AI's allure has captivated investors, eventually leading to lofty valuations for many big tech names. At times, investors fret about what the technology can achieve and ask for justifications regarding hefty capital deployments, which big-tech companies have done in the name of AI – The case of Deep Seek. Swings in a market driven by the "AI flare" have become somewhat common! With that said, **Exlservice Holdings (EXLS)** provides a unique investment opportunity. The company is chiefly positioned on the demand side of AI rather than on the supply. EXLS has capitalized on investments that were made ahead of the curve, which has helped develop industry-specific expertise in Analytics, LLMs, and data management systems, i.e., driving potent growth in Revenues and Margins at a time (which is now!) when many players in the industry are bumbling to keep their margins anchored while keeping up with the demand.

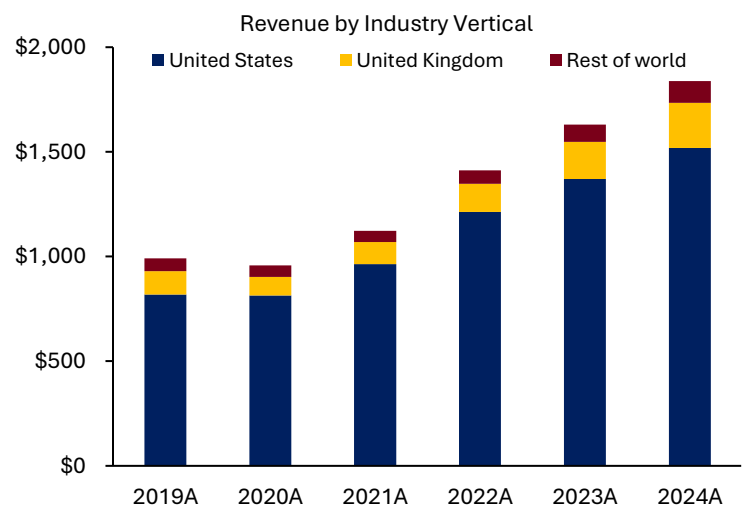
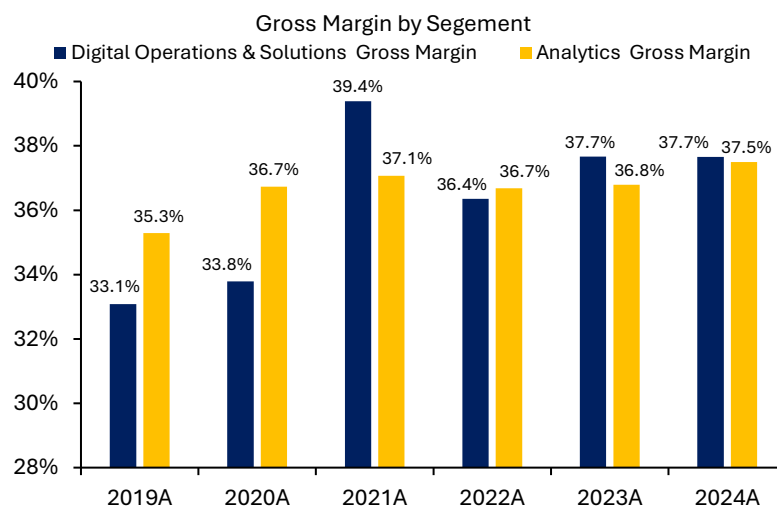
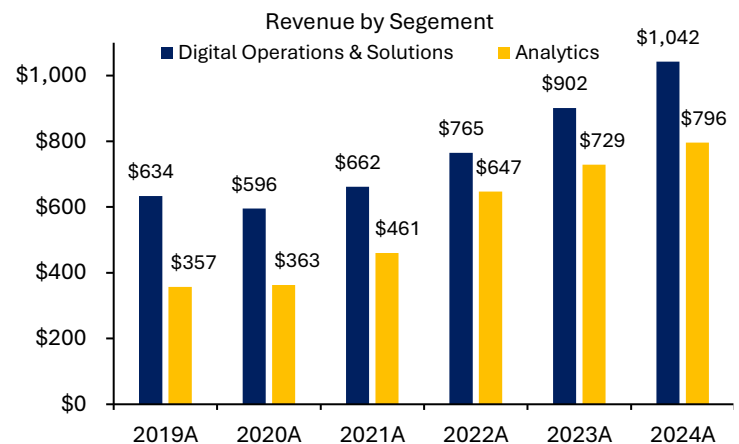


Price	\$46.64
Price Target (+12 Month)	\$60.12
Market Cap.	\$7.50B
52W High-Low	\$28.16-\$52.42
Model	Link

Business Description:

EXLservice Holding, Inc. (EXLS) is a business consulting and services firm specializing in operations management, analytics, technology, and healthcare. The company operates across six continents, employing 54,000 professionals globally. Its revenue distribution is as follows: 82.6% from the United States, 11.7% from the United Kingdom, and 5.6% from the rest of the world.

EXLS operations are divided into two reportable segments: **Analytics** and **Digital Operations & Solutions**, which contributed 43.3% and 56.7% of total revenue, respectively, in FY 2024. With total revenue of \$1.83 billion and an EBIT margin of 14.7%, the company has seen significant improvements in profitability, particularly driven by the strong performance of the Analytics and Insurance segment (i.e. within Digit operations and solutions),



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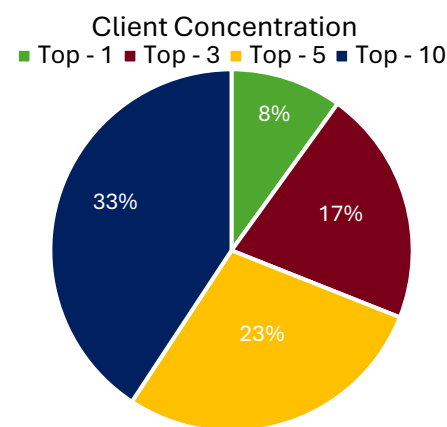
which have been a key driver of improved gross margins in recent years. Top 1%, 3% and 5% of clients' accounts for 8%, 17% and 23% of total revenue, respectively.

These segments are further categorized into three broader industry verticals:

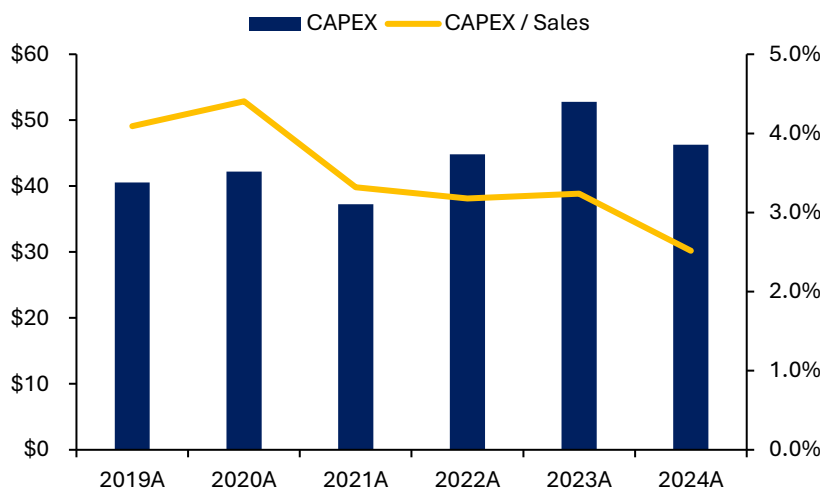
1. **Insurance:** This unit provides AI-powered operations services to Insurance and Insurtech companies, supporting functions like underwriting, claims processing, and account reconciliation. It accounted for 42% of total revenue, with a YOY growth of 14% in FY 2024.
2. **Healthcare:** Primarily serving the U.S. market, this unit assists healthcare payers, providers, and pharmacy benefit managers with care management, payment integrity, and revenue optimization. It contributed 36% of total revenue, with a YOY growth of 82% in FY 2024.
3. **Emerging Business:** This unit provides data management, FP&A, advanced forecasting, finance and accounting, and decision support services to clients in banking, capital markets, utilities, retail, consumer goods, telecom, logistics, and manufacturing. It accounted for 22% of total revenue, with a YOY growth of -30% in FY 2024.

EXL also offers proprietary SaaS models, leveraging both its own and customer data to drive business efficiency and growth. The company's global office footprint covers approximately 1,579,000 square feet. EXL serves approximately 560 clients. EXL's client agreements typically range from three to five years for digital operations and one to three years for analytics services.

Notable Competitors: Genpact, WNS Global Services, Accenture, Cognizant Technology Solutions, Infosys, Tata Consultancy Services (TCS), IBM, HCL Technologies.



Financial Analysis:



EXLS has experienced significant margin expansion over the past seven years, driven by internal investments in its business, as reflected in substantial increases in CAPEX. Before FY2017, the company maintained a consistent CAPEX of approximately \$26M annually. However, in FY2017, capital expenditure rose to \$35M and has continued to increase since then, reaching the highest level of \$53M in FY2023 before rebounding to \$46M in FY2024. This growth from FY2017 to FY2024 represents an ~4% CAGR. Additionally, EXLS increased its investment in Selling and Marketing to promote its services to a broader customer base. These investments initially resulted in compressed ROIC in 2018-2019, but they have proven effective over time.

As a result of these strategic investments, EXLS has seen the following improvements in its margins:

- **Return on Invested Capital (ROIC):** 7.25% in FY2018 to 23.7% in FY2024, representing an improvement of 16.45%.
- **EBIT Margin:** 7.9% in FY2018 to 14.7% in FY2024, representing an increase in operating efficiency partly driven by a higher Revenue per employee of 677 BPS.
- **Gross Margin:** 33.8% in FY2018 to 37.6% in FY2024, representing an expansion of 380 BPS driven by higher pricing leverage justified by industry-specific expertise.

Other Research: Detailed pitch for a trucking company ([Link](#))

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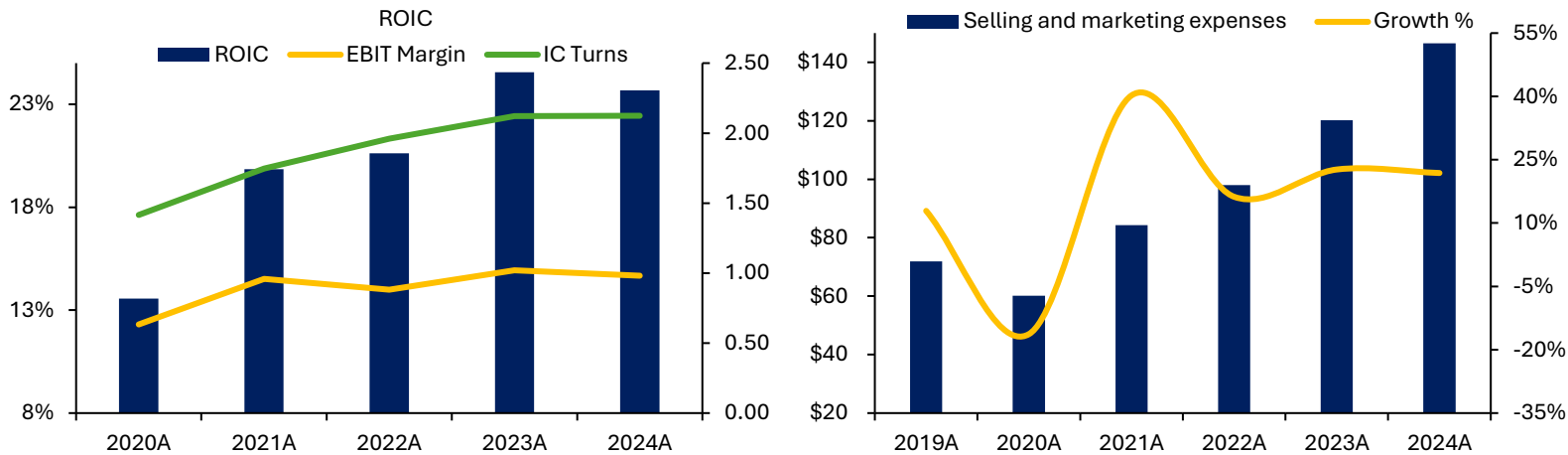
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In addition to improved margins, driven by the continued benefits from its internal investments, the company can now provide services to a substantial number of clients. In FY2024, EXLS added 32 new clients to its Digital Operations and Solutions business and 37 clients to Analytics. The contractual nature of service agreements between EXLS and its clients provides a degree of revenue stability.

Starting Q1 2025, EXLS will change its financial reporting segments from the current version to the four new segments that are (1) Insurance, (2) Healthcare and Life Science, (3) Banking, Capital Markets, and Diversified Industries, and (4) International Growth Markets unit. The changes in reporting segments will not have any material effect on the company's operating performance, and it will integrate the Analytics segment, i.e., already a sub-vertical within the three broader industry verticals the company currently operates. Furthermore, it will spotlight international markets, putting pressure on management to proactively grow their global footprint (which they are!) as the company continues to stretch their market footprint in AI and data analytics, a high-margin space.

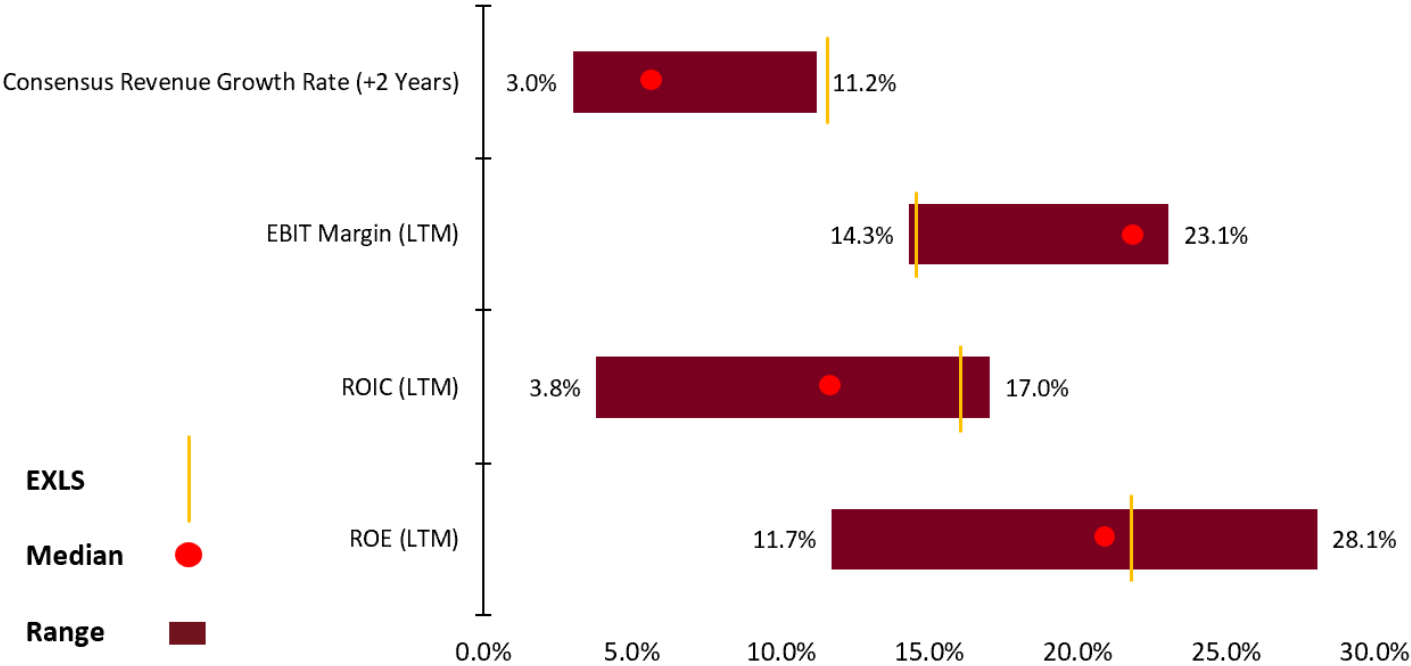
Relative Value Considerations and Margin Targets:

It is worth noting that EXLS trades at a premium compared to its two-year average. This premium is primarily driven by EXLS' track record of consistently beating earnings estimates, its strategic investments in talent acquisition, domain-specific AI model development, marketing, and expectations of potential M&A activity in the near future.

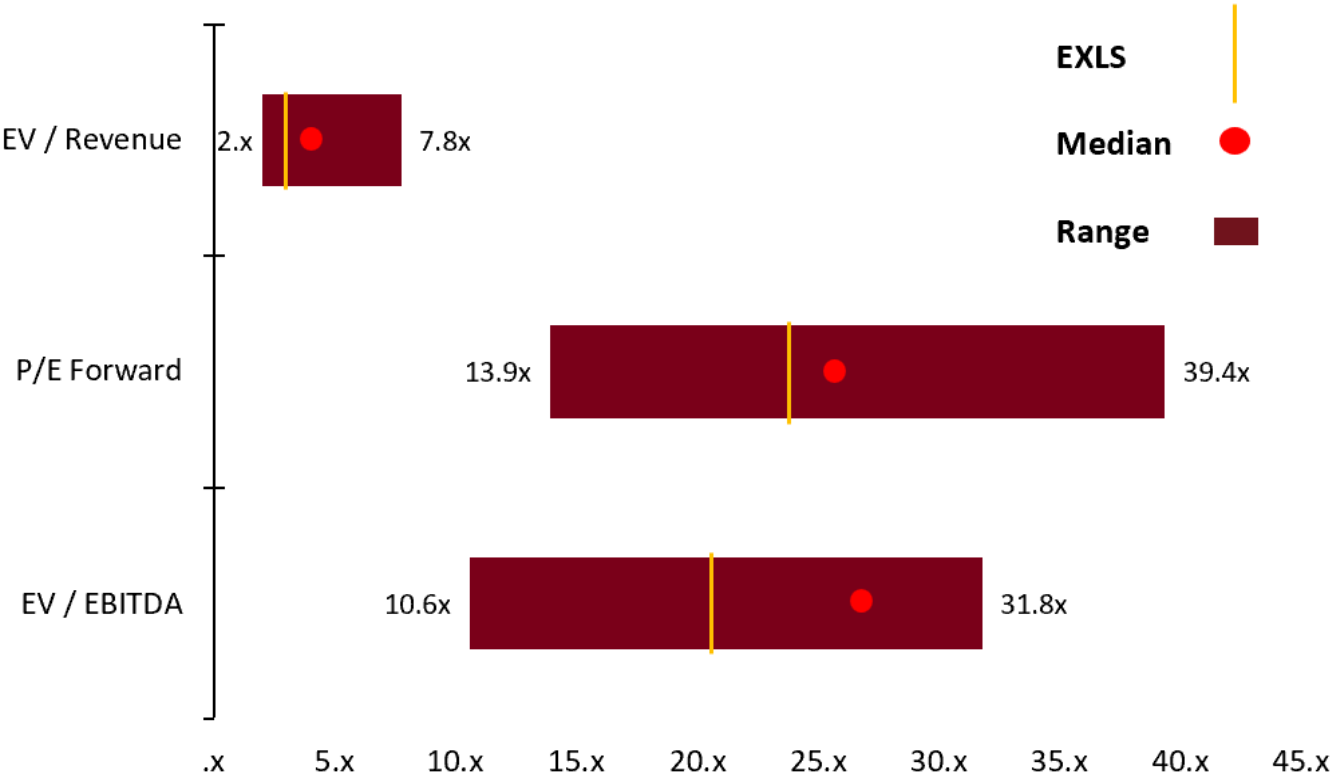
According to the two-year consensus growth forecast, EXLS is expected to achieve mid-double-digit revenue growth. However, if EXLS fails to meet these expectations, the premium (i.e., the expanded multiple) at which it is currently trading could quickly reverse. In my DCF modeling, I have taken a cautious approach regarding both the expected growth rate and potential multiple expansion, which informs the Fair Value estimates presented.

I also acknowledge that finding a true comparable for EXLS is difficult due to its anticipated growth and margin expansion. **To justify my margin expansion assumptions, I look at companies across industry sub-verticals: business process management, India-based IT services firms, product development/engineering companies, and some global players to help inform my margin expansion assumptions. I created the table below using Bloomberg and benchmarked EXLS's margins against Indian-based IT services firms, as ~65% of its workforce is located in India.**

I use the following companies in the Football field chart presented: **WNS (Holdings) Limited, Genpact Limited, Paylocity Holding Corporation, Exponent, Inc., SS&C Technologies Holdings, Inc...**



Source CAPIQ



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		Operating Margin						
Ticker	Company Name	Fiscal Year						
		FY 2018	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Median		13.34%	13.20%	14.26%	14.43%	14.25%	13.74%	11.58%
Average		13.93%	14.31%	11.52%	15.15%	13.97%	13.04%	11.66%
India Based IT Services								
INFO IN	INFOSYS LTD	24.32%	22.84%	21.34%	24.51%	23.03%	21.06%	20.66%
TCS IN	TATA CONSULTANCY SVCS LTD	24.78%	25.57%	24.58%	25.13%	25.27%	24.06%	24.22%
WPRO IN	WIPRO LTD	15.20%	16.51%	16.81%	19.38%	17.19%	14.93%	15.12%
CTSH US	COGNIZANT TECH SOLUTIONS-A	17.37%	14.62%	12.70%	15.27%	15.28%	13.89%	14.65%
HCLT IN	HCL TECHNOLOGIES LTD	19.75%	19.55%	19.58%	20.38%	18.90%	18.18%	18.22%
Median		19.75%	19.55%	19.58%	20.38%	18.90%	18.18%	18.22%
Average		20.28%	19.82%	19.00%	20.93%	19.93%	18.42%	18.58%
Business Process Management								
WNS US	WNS HOLDINGS LTD	10.55%	14.25%	15.43%	14.88%	14.25%	13.58%	11.58%
G US	GENPACT LTD	11.60%	12.20%	11.83%	12.65%	11.49%	14.09%	14.73%
TTEC US	TTEC HOLDINGS INC	6.10%	7.53%	10.50%	9.56%	6.90%	4.79%	-7.86%
Median		10.55%	12.20%	11.83%	12.65%	11.49%	13.58%	11.58%
Average		9.42%	11.32%	12.59%	12.36%	10.88%	10.82%	6.15%
Product Development / Engineering Companies								
DAVA US	ENDAVA PLC- SPON ADR	11.69%	11.45%	6.23%	14.24%	14.57%	14.20%	2.72%
EPAM US	EPAM SYSTEMS INC	13.34%	13.20%	14.26%	14.43%	11.88%	10.69%	11.52%
GLOB US	GLOBANT SA	12.79%	12.25%	10.31%	11.14%	11.61%	9.49%	9.33%
GDYN US	GRID DYNAMICS HOLDINGS INC	13.34%	13.20%	14.26%	14.43%	11.88%	10.69%	11.52%
Median		13.06%	12.72%	12.29%	14.34%	11.88%	10.69%	10.42%
Average		12.79%	12.53%	11.27%	13.56%	12.48%	11.27%	8.77%
Global Service								
CAP FP	CAPGEMINI SE	9.48%	10.15%	9.48%	10.13%	10.88%	10.42%	10.66%
DXC US	DXC TECHNOLOGY CO	4.33%	6.82%	-29.27%	5.98%	1.22%	1.83%	3.01%
ACN US	ACCENTURE PLC-CL A	14.39%	14.59%	14.69%	15.08%	15.21%	13.74%	14.79%
Median		9.48%	10.15%	9.48%	10.13%	10.88%	10.42%	10.66%
Average		9.40%	10.52%	-1.70%	10.40%	9.10%	8.66%	9.49%

Valuation Analysis:

What is Priced in?

Before I present my assumptions for the Base, Bull, and Bear cases, I'd like to show what the Market expects; I do this by creating a reversed Model that ties together the Market Share Price as of March 14, 2024 (\$46.16) to the DCF share value. The Market currently prices in a revenue growth CAGR of 10.8% for 5 years starting 2025, which consists of low double-digit revenue growth subsiding over the period. Additionally, an EBIT margin expansion of approx. 4% and constantly improving IC turns driven by higher pricing leverage and efficient deployment of Capital are reflected in the current value of the common stock. To develop a reversed model, I assume the long-term capital structure to be about 31sh% debt, -6ish% cash, and 102ish% equity relative to the company's enterprise value.

Other Research: Detailed pitch for a trucking company ([Link](#))

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What do I think?

Revenue growth should be driven by strong demand in the business's Analytics, Healthcare, and Insurance segments. The company's industry-specific expertise in LLMs, advanced data management, and ERP systems—along with its proprietary data sets—creates a strong competitive advantage. As the AI adoption accelerates, businesses in healthcare, insurance, and emerging business Industry verticals will increasingly implement automated chatbots and internal data management systems that organizations can use to train AI. Given the company's strategic investments and early positioning, it is well-equipped to capitalize on this growing demand, supporting pricing leverage and justifying improved margin assumptions.

Base Case Price Target \$60.12 (Dec 31, 2025):

The Base Case Assumes a Revenue Growth CAGR of about 12% for five years starting in 2025, a gross margin improvement of 7.73%, an EBIT Margin expansion of 474 BPS, and an improvement in IC Turns by 0.67 over the same time frame. While the value of capital structure weights varies over the 5 years, EXLS will be financed by approx. 3% debt, -5ish% cash, and 102ish% equity relative to the company's enterprise value. I apply a Terminal growth rate of 2.5% (in line with long-term GDP Growth) and a Terminal EBIT margin and IC Turn of 16% and 2.0, respectively. I assume the EBIT tax rate to be constant at a level of 21.3%.

Estimates (In Millions) Base Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$1,838	\$2,068	\$2,327	\$2,605	\$2,903	\$3,234
Gross Margin %	37.6%	39.1%	40.7%	42.2%	44.0%	45.3%
EBIT Margin %	14.7%	15.0%	15.7%	16.4%	18.0%	19.4%
IC Turns	1.95	2.11	2.20	2.34	2.45	2.62

Bull Case Price Target \$64.76 (Dec 31, 2025):

The Bull Case Assumes a Revenue Growth CAGR of about 12.6% for five years starting in 2025, a gross margin improvement of 9.6%, an EBIT Margin expansion of 456 BPS, and an improvement in IC Turns by 0.83 over the same time horizon. The Bull case assumes slightly less improvement in EBIT Margin than the base case, as generating higher revenue will require higher employee-related (Talent acquisition and retention) and marketing costs. As mentioned before, the value of capital structure weights varies over the 5 years. However, I expect EXLS will be financed by approximately 3% debt, -6ish% cash, and 104ish% equity relative to the company's enterprise value. I apply a Terminal growth rate of 2.5% and a Terminal EBIT margin and IC Turn of 17% and 1.9, respectively. Reflecting and elevated level of re-investment in the business and anchored operating margin. I assume the EBIT tax rate to be constant at a level of 21.3%.

Estimates (In Millions) Bull Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$1,838	\$2,075	\$2,347	\$2,644	\$2,968	\$3,327
Gross Margin %	37.6%	39.7%	41.4%	43.5%	45.2%	47.2%
EBIT Margin %	14.7%	15.0%	15.9%	16.8%	18.1%	19.2%
IC Turns	1.95	2.12	2.23	2.40	2.55	2.78

Bear Case Price Target \$45.21 (Dec 31, 2025):

The Bear Case Assumes a Revenue Growth CAGR of about 3.69% for five years starting in 2025, a gross margin improvement of 369 BPS, an EBIT Margin expansion of 194 BPS, and an improvement in IC Turns by 0.44 over the same time frame. These assumptions consider intensified competition in the industry, which slams revenue growth and margin improvement, as with intensified competition, employee retention and acquisition costs will start to increase, making it difficult to stretch margins. In this case, I expect the management to finance the company with approx. 3.5% debt, -6.5ish% cash, and 102ish% equity relative to the company's enterprise value. Reflection truncated the opportunity to re-invest cash to create value. I apply a Terminal growth rate of 2.5% and a Terminal EBIT margin and IC Turn of 15.5% and 1.9, respectively. I assume the EBIT tax rate to be constant at a level of 21.3%.

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Estimates (In Millions) Bear Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$1,838	\$2,046	\$2,267	\$2,480	\$2,691	\$2,914
Gross Margin %	37.6%	38.8%	39.9%	40.6%	40.7%	41.3%
EBIT Margin %	14.7%	14.8%	15.3%	15.7%	16.2%	16.6%
IC Turns	1.95	2.08	2.13	2.22	2.28	2.39

Risk:

- **High client concentration**, which exposes the company to revenue volatility if key clients reduce or shift their business.
- **Potential legislative changes** in the U.S. and globally, particularly around AI, could impact business operations and growth prospects.
- While EXL holds a competitive edge, **new market entrants** could intensify competition and pressure margins.
- **Ongoing acquisition strategy** may result in customer attrition, with some clients potentially moving to competitors' post-acquisition.